

QUIDELORTHO CORP QDEL

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by

Chalkbaggery

			2026	2027
Price:	11.59	EPS	2.06	3.26
Shares Out. (in M):	68	P/E	5.6	3.6
Market Cap (in \$M):	788	P/FCF	6.6	3
Net Debt (in \$M):	2,500	EBIT	380	478
TEV (in \$M):	3,288	TEV/EBIT	8.7	6.9

Description

Summary: Hold your nose and buy QDEL. While I have developed a distaste toward defensive thesis that is primarily rooted in mis-valuation (i.e. bombed out stocks at 52-week lows in a penalty box with myriads of overhangs), the “value chud” in me still believes in buying “extreme dislocation” with massively outsized bull/bear skews – and QDEL represents such an opportunity, as long as you have an >18-month duration and haven’t suffered from the emotional damage to date. I believe you can create a LSD-MSD % organic growth niche diagnostics business at < 3x pro-forma earning power, and stand to capture 3x to 5x multiple on invested capital without using aggressive exit multiple, that is, if PE doesn’t take it out first. While this is very much an unsexy business, there is a price for everything. The company could be on a path to generate the equivalent of current market cap in FCF over the next 3 years. Lastly, private equity industry is loading up a mature diagnostics peer with more turns of debt in its recent LBO than QDEL’s entire EV/EBITDA multiple. If execution falters further, private equity could come in to scoop it up and sell it in pieces

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This isn’t the first time QDEL has been written up on VIC. **Novana did a good job laying out the turnaround story last June**, that clearly explained QDEL’s business model and articulated the turnaround set-up (after the stock fell ~90% from all-time high of \$300+ in Aug 2020 to \$30). Since then, the stock has fallen an additional ~60% to \$11, with market cap breaching below \$1bn recently.

https://www.valueinvestorsclub.com/idea/QUIDELORTHO_CORP/2860240984

To briefly recap Novana’s thesis, QuidelOrtho / QDEL is a high-quality diagnostics franchise suffering from a big valuation discount that stemmed from a cluster of temporary, self-inflicted issues rather than structural impairment: 1) pandemic-driven COVID testing revenue normalization distorted growth and margins, 2) a poorly executed Ortho Diagnostics integration (acquired in 2022) that created organizational bloat, 3) leadership missteps that culminated in a CEO change in mid-2024, and 4) repeated delays of the promised Savanna molecular diagnostics platform that seriously eroded credibility. Under new management with much enhanced cost discipline, QDEL was on the path to drive meaningful EBITDA margin recovery towards mid-to-high 20%s, which will in turn drive EPS growth and multiple expansion.

I want to avoid rehashing the same points, and focus on explaining the evolving debates in this equity story since then + articulate why the set-up today is better despite the chart looking meaningfully scarier. I wanted to supplement the previous write-up by going deeper into two topics it only lightly touched on: 1) value based procurement (VBP) risk surround the China dry chemistry diagnostics business, and 2) QDEL’s recent inability to translate adj. earning / adj. EBITDA into free cash flow (FCF).

Long story short, as of today, the market has 1) effectively “written down” the Chinese dry chem Dx business’s enterprise value to ~zero, 2) has casted an almost perpetual “no confidence” vote on QDEL’s ability to convert EBITDA into FCF, and 3) has unjustifiably panicked after the recently reported Q1 preliminary revenue miss despite the major drivers for the revenue miss being cyclical in nature (and therefore recoverable) rather than structural.

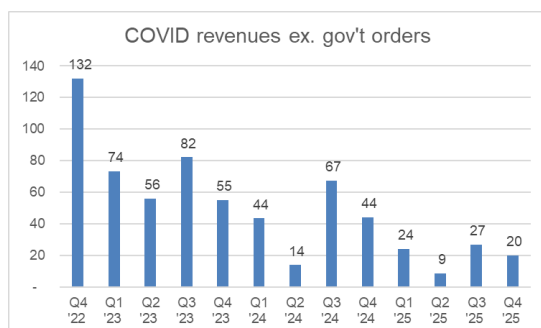
I believe that this round of capitulation has finally brought sentiment and expectation to all-time low, setting up for a coiled spring once reality exceeds this set of Debbie Downer perceptions. Despite the rocky start in Q1 2026, I think QDEL can get back on the path of EBITDA growth, FCF generation, and deleveraging to enter FY2028 with normalized earning power of mid-\$4 (and FCF of >\$5) while getting back to its leverage target, creating the equity at a distressed ~2.5-3x multiple. Lastly, even if we assume some draconian assumptions, I want to illustrate there is real margin of safety here.

A look back on what actually transpired fundamentally since Q1 ’25

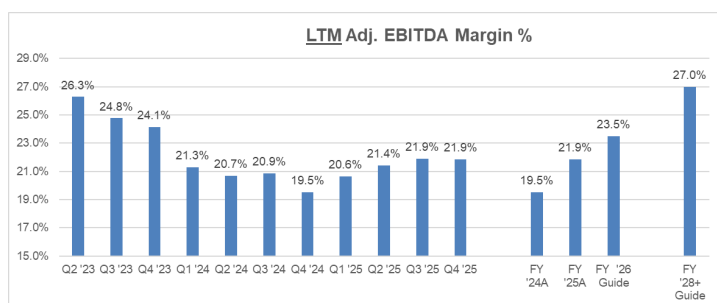
- **Constructive organic growth execution that supports the MSD % growth thesis.** Given there are a lot of moving parts to QDEL’s revenue (COVID, flu,

donor screen in wind down phase), The best metric to assess underlying growth is the “total non-respiratory revenue excluding donor screen”, which finished 2025 at +5.0%

- **Labs** (56% of core revenue) +5.8%, aligned with +MSD messaging all year
- Core **Immunohematology** (excl. donor screening) (21% of core revenue) +3.2%, aligned with +LSD messaging all year
- **Point of Care** (22% of core revenue), +1.5% ex-COVID, softer than expected
- Molecular Diagnostics (1% of core revenue), +14.5%, irrelevantly small
- Regionally, for the **China** segment (12% of core revenue): +3.2%...okay despite all the retaliatory-tariff concerns
- All above growth % = constant currency
- **Healthy EBITDA margin expansion of ~240bps YoY (from the 2024A trough level) driving a +10% EBITDA growth (hit right in the mid-point of initial guidance range) despite experiencing larger than expected step-down in high-margin COVID revenues**
 - QDEL initially baked in a COVID revenue step-down to **\$110-140mm from 2024's ~185mm** to factor in 1) no more gov't contract revenue and 2) eliminating OTC tests sold at retail channels. However, the summer wave didn't materialize, **resulting in COVID revenue ending the year at \$80mm (less than 3% of QDEL's total revenue by now)**
 - Given the high incre. margin on COVID tests (est. >65%), the \$45mm FY COVID revenue shortfall vs. initial guidance assumption in Feb '25 translates into ~\$30mm of lost contribution profit. **This is to say, had mgmt's original COVID guidance played out, Adj. EBITDA would have grown by ~15% YoY**



- Trade policy volatility also threw a wrench at QDEL, introducing a gross tariff impact of \$20-25mm in 2025, but the mgmt. managed to fully mitigate it through a mix of surcharges (mostly surcharges) and cost actions.
- **Overall, it was solid execution given the incremental environmental headwinds encountered throughout the year.** For 2026, QDEL initially guided for another 100-200bps of EBITDA expansion from core growth, executing previously announced indirect procurement cost initiatives + starting to layer in direct procurement cost initiatives. Unlike 2025, QDEL doesn't plan to fight another COVID revenue step-down battle given it's finally at endemic level (per order cadence observed in its professional channel) + gov't/retail COVID revenues have been zeroed by now. Abbott, a peer that also has heavy COVID testing market share, is in agreement.



- **Earning quality continued to be the elephant in the room, with QDEL reporting a disappointing but salvageable level of recurring FCF of \$100mm for 2025** (this adds back the restructuring/one-off cash charges), or ~17% of Adj. EBITDA (falling short of the 25%+ goal for the year, not to mention the ~50% medium term north star). In mgmt's defense, they cited ~\$15-\$20mm of ERP system issues and \$20 million of respiratory sales that occurred late in Q4 (order timing can be sporadic given distributor inventory in the system). Both of these receivables were collected in January of 2026 and the company would have got close to its ~25% goal if not for these issues. Due to this cash collection timing delay, YE net lvg ended at 4.2x EBITDA, more elevated than mgmt. had planned. For 2026, QDEL provided an initial 120-160mm actual FCF guidance, inclusive of one-off cash charges. This was supposed to be first year of true positive FCF inflection

Overall, the key take-away is that the core business anchored by a highly recurring, MSD growth labs diagnostics franchise with strong installed-base economics, remains intact while mgmt has been steadfast executing on the margin recapture plan.

The pre-announcement that shook the stock down another 30%+ in the past month

- QDEL announced Q1 preliminary revenue ~2 weeks ago that was ~10% below Consensus, citing the majority of softness stemming from weaker respiratory season, along with certain delayed EMEA orders (as a result of geopolitical conflict) and slower China distributor sales.
- As a result of the shortfall, co pointed to the low-end of FY 2026 guidance being achievable. Keep in mind QDEL intentionally had a ~40mm range in EBITDA between the low and high end to reflect variability of the respiratory season / other risk factors.
- The market panicked on this stock because 1) weaker FCF start to the year as a result of this Q1 miss further added overhang to lvg + earning quality concern, and 2) slow China sales related to the proposed China National Health Security Administration ("NHSA") reimbursement rate reduction guideline added incremental fears to the already-feared China business

I believe this has finally overshot too much

My take on China dry chem VBP / recent NHSA reimbursement guideline risk: implied enterprise value of QDEL's China business has been nuked to zero if not negative

- **Background context on QDEL's China business:** ~12% of company revenue with a bit higher contribution margin on a pre-corporate cost allocation basis. All 3 key segments (Labs, Immunohematology, and Point of Care) have presence in China and the core Vitros dry chemistry franchise is about ~50% of that revenue mix. To date, dry chemistry has not gotten VBP'ed by provincial or national gov't, unlike many wet chemistry immunoassay tests (that have caused immense pain to the China segments of peers like DHR, RVTY, ABT, etc.). Over the past 2 years, there has been a growing sense of fear (across sellside and buy-side) that VBP could finally arrive for dry chem in China as well. While there was always a fear, mgmt did the best it could to reassure investors quarters after quarters that "we've heard nothing on the ground". **The reason the gov't never emphasized on this type of test is probably due to the lack of diverse suppliers / competitive alternatives, as QDEL dominates in this sleepy-but-niche category with a lack of substitutes.**
- **What has made dry chem special:** Dry slide isn't just a reagent format—it's effectively a different infrastructure model for running a lab. A standard wet chemistry setup depends heavily on water + plumbing infrastructure (purified water supply, internal tubing, pumps, valves, drainage/waste lines, on-site water purification system, etc.) but **many provinces in China have water quality variability and plumbing reliability issues, not to mention limited technical maintenance capacity.** Dry chem removes that infrastructure burden as it doesn't require water lines or tubing systems, and it has the least mechanical complexity (no fluidics system to maintain). It's not a sexy industry for peers to deploy R&D to invest into, but it carries steadiness.
- **In Dec 2025, there was a press conference for Jiangxi Provincial Medical Security Bureau that brought the dry chem VBP risk to the table.** While dry chem wasn't proactively mentioned in the Press Conference main body, a journalist asked "what areas will the medical security authorities further release the benefits of centralized procurement going forward" in the Q&A section and the officials replied "we need to keep expanding the scope of procurement categories, participate in new rounds of centralized procurement" and then said verbatim that "we will **explore** carrying out national alliance procurement for dry biochemistry diagnostic test strips". Even though it's just one province announcing the willingness to explore this, the way VBP works in China is that a province usually "pilot" the program and then start a regional alliance, before feeding results into a nationwide expansion. **This started the first wave of panic in the stock. The irony is that local sources are now saying the wind is blowing the other way, and that the probability of dry chem VBP is quite low as the gov't is walking away from that line of thought. If anything, the focus would be more on primitive dry chem tests like simple pregnancy test strip stuff, as opposed to QDEL's multi-layer complex slide system**
- Even though the probability of this happening is still quite low, mgmt is vigilant about it and has performed bottom-up analysis internally to size up the magnitude of exposures, and **it believes to the extent it happens, the impact would be limited to 0.5%-1% of company revenue after considering 1) the limit to which gov't can pressure the price down due to lack of competitive alternatives, 2) past empirical data on provincial participation rate, 3) distributors will share a portion of the pain if this happens.** We will sense-check these numbers later.
- **Since the initial VBP fear, there has been a secondary development in March,** when NHSA issued a Diagnostics Services Pricing Guideline (draft) to standardize how diagnostic tests are priced and reimbursed nationally. It effectively introduces price ceilings for each test category and unifies various provinces' pricings downward toward national benchmarks. **It's important to note that this policy does not directly impact diagnostics / reagent consumables providers like QDEL but rather impacts hospital reimbursement. Nonetheless, this introduced a fear that as hospital revenues get squeezed with limited ability to offset, it may push back on its cost upon contract renegotiation or switching to cheaper vendors.** Given dry slide is a premium-priced reagent model vs. wet chemistry, a new wave of selling pressure emerged.
- The fact that QDEL cited some slower sales (my estimate is ~\$10mm) from China distributors in Q1 related to this regulatory development led to panic as some investors felt this "validated the risk". **However, I think it's entirely possible the distributors simply took a temporarily cautious approach to "get leaner" on inventory / safety stock, leading to this modest revenue miss.** After all, distributors don't want to risk inventory write-downs if we go into a deflationary environment (not saying we will). But practically, there is little economic force to pressure QDEL's dry slide reagent pricing down given the lack of competition near-term just because hospitals experience incremental PnL squeeze. **With that said, I have baked in some LT pricing pressure (as contracts renew) in the China segment in my model given QDEL should probably give some modest pricing concession for "relationship management"**

purposes if this draft guideline becomes finalized.

- Regardless of what you assume on China going forward, it's important to realize that **the market has essentially written down the entire China business to zero (if not negative EV) at this point. But everything has a price, QDEL's cash flows from China "may" be a slow melting ice cube (at < 15% of company earning mix), but that ice cube is NOT being nuked in a microwave oven).**
 - The stock has **lost ~\$1.2bn of market cap YTD** on a FY EBITDA guidance that was initially set right where Consensus is, and subsequent revised to lower-end (so call it 3% below old Consensus, or 5% if you are skeptical).
 - Most sellside / buy-side analysts would agree with me that **majority, if not super majority of the market cap decline is due to overhangs related to China (rest due to lingering FCF concern)**
 - However you slice and dice the China EBITDA contribution many ways (pre vs. post corporate OpEx elimination, or just on the dry chem piece), **you get to a conclusion that the market has possibly derated >7x on the entirely China EBITDA**
 - QDEL as a whole started the year at 7.5x EV/EBITDA (also averaged at high-7x across 2025), every analyst will tell you the **China business already had an implicit lower valuation multiple compared to the headline valuation due to known VBP risk.**
 - In my view, >100% of market-implied EV for the China business at beginning of 2026 has been written off by now. It's probably of negative equity value at this point...**I'll leave these exhibits here and you can make your own assessment**

Price decline YTD	\$17			
Diluted shares	68			
Mkt cap / EV destruction (\$mm)	1,156			
x % of destruction due to China regulatory-related fear	55%	65%	75%	85%
(A) = EV destruction due to China (\$mm)	636	751	867	983
(B) 2025A China regional EBITDA pre Corporate allocation	141			
(A)/(B) Implied derating on entire China EBITDA (low-end)	4.5x	5.3x	6.1x	7.0x
(C) 2025A China regional EBITDA post Corporation allocation	100			
(A)/(C) Implied derating on entire China EBITDA (high-end)	6.4x	7.5x	8.7x	9.8x
(D) 2025A China EBITDA (pre Corp) tied to dry chem	92 (assuming dry chem = 65%)			
(A)/(D) Implied derating on China dry chem EBITDA	6.9x	8.2x	9.5x	10.7x

Capital IQ valuation across CY 2025:



From 2025 10-K:

		As % of Sub-total
North America	807	68%
EMEA	83	7%
China	141	12%
JPAC	73	6%
LatAm	78	7%
Sub-total of Regional EBITDA	1,182	100%
Corp allocation	(585)	
Actual Adj. EBITDA	597	

My take on QDEL's FCF issue: mgmt's guidance towards actual positive FCF inflection is genuine, yet market has written it off as a result of thesis fatigue

- QDEL has had a multi-year string of negative reported FCF, despite a reasonably robust level of Adj. EBITDA and a healthy level of [EBITDA less CapEx less cash interest]. **The problem has been these one-off costs (non-recurring cash drags) that look recurring at this point.** Thanks to the genius acquisition and a complex integration / ERP implementation, these charges have more than offset all the "underlying FCF" generation. However, mgmt has a close pulse on the schedule of these cash charges as they are all know-able. 2025 was the last of the ugly years, and 2026 represents the first year of significant step-down on restructuring-related cash drag. As the ERP implementation has completed, mgmt has guided to \$50-60mm of cash use associated with its NJ facility consolidation effort + direct procurement cost savings initiatives.

	FY 2023	FY 2024	FY 2025	FY 2026E	FY 2027E
Other integration-related CapEx	18	15	30		
Acquisition / integration	116	129	92		
Integration-related cloud computing implementation	47	73	53		
Total non-recurring cash drag	181	217	175	55	45

- **After getting flack from investors about its use of “Adjusted FCF” (or recurring FCF) disclosure, QDEL is trying to pivot investor community’s focus towards GAAP FCF by guiding a range of \$120-160mm for FY 2026 in Feb** (mid-point of 140, or just under 200mm recurring if you want to back out the cash drag).
- Organizationally, QDEL is massively incentivized to optimise its FCF for good. Starting 2026, all executive compensation incentives will directly be tied to cash flow targets for the first time. It’s a major focus for the organization.
- The cynical folks may ask “do we trust them on this guided glide path on restructuring costs”. **I point them to the insider buying pattern over the past 2 years where CEO + CFO + others in C-suite + members of the Board have spent ~\$1.6mm of their own after-tax money making open-market purchases at prices between ~\$21-47.** They all know how critical true FCF generation is, and wouldn’t be throwing good money after bad if they didn’t at least believe it. This mgmt team isn’t the smoke and mirror types, they are truly, truly frustrated by the stock price.

Trade Date	No. Part	Participants	Net Sell (Shares)	Net Buy (Shares)	Close Price
02/13/2026	3	Blaser Brian, Strobeck Matthew, Busky Joseph		23,910	23.58
12/10/2025	1	Rhoads Ann		750	28.80
11/26/2025	1	Wilkins Joseph		370	27.50
11/24/2025	1	Busky Joseph		4,770	26.58
11/21/2025	1	Polan Mary		1,000	24.35
11/19/2025	1	Blaser Brian		23,500	20.99
12/11/2024	1	Blaser Brian		6,033	41.52
02/23/2024	1	Busky Joseph		2,150	46.89

- **Ironically, the investor community has capitulated so hard on QDEL’s FCF generating ability at a time there are real tailwinds coming:**
 - **Working capital efficiency gain:** if you look at the financials, inventory days are > 20 days above historical normalized levels and the finance team is working hard to release cash via shortening inventory days by about 20. That leads to a total of \$80mm of working capital release benefit opportunity over the next 18 months. QDEL needs to be careful with the cadence to not create back orders (which could lead to loss of business).
 - **Cash tax is capped here due to substantial NOL (>1bn federal, >700mm State),** so all the incremental EBITDA QDEL generates as it recaptures margin can flow through to FCF. QDEL pays no cash tax in US (UK is majority of its limited cash tax). Going forward, cash tax should be \$30-40mm a year or less.
 - The co is looking at opportunities to reduce working capital usage tied to its reagent rental model (by pushing for more instrument sales, rather than leases). There is flexibility here.
 - Lastly, keep in mind that QDEL’s Adj. EBITDA includes the burden of SBC, so if you do an EBITDA to FCF build, you would need to add back SBC first.

One final take on the recent Q1 pre-announcement: I’ve addressed the China concern above, I believe the rest of the explanation for misses are cyclical / timing related rather than structural, therefore they are recoverable next year.

- **Flu revenue** goes up and down depending on the season but reverts back to the mean over time. 2026 is on track to be a below-normal flu year (2024 and 2025 flu revenues were 246mm / 255mm respectively), but you should be valuing this on steady state revenue level
- **The cited EMEA shipment delay** due to Middle East conflict is a reasonable explanation, there should be a catch-up order later this year

Direction of earning power and FCF generation capacity

- **See the EBITDA walk below, where I have EBITDA at ~\$800mm by 2028 at mid-26% margin** (you can back-out my revenue estimate from here if you want). It’s actually ~25% ex-Beckman payment (eventually goes away in the new decade), so it’s on the low-end of the “mid to high 20%” range that mgmt. is targeting for the medium to long-term.
- **You can map out every publicly traded Diagnostics company (and look at Diagnostics segments of a few bigger healthcare giants), the bookends for EBITDA margin is firmly 25% at the low end and 37% at the high end (I’m looking at you, Qiagen).** I think Novana’s write-up last year may have addressed this too.
- I bake in 1) the recapture of flu revenue given this may be a cyclically soft year, 2) moderate Lex Dx contribution (an ultra-fast point of care molecular Dx platform they replaced Savanna with that could get you from sample to answer in 6-10 minutes), and 3) “only \$70mm” of net cost saving (largely from direct procurement initiatives and facility consolidation) across 2027-2028. Real oppy could be meaningfully higher as direct procurement related cost oppy should be way more meaningful than the indirect procurement oppy that’s been executed in 2025/2026.
- When QDEL mgmt. talks about the “mid to high 20%” EBITDA margin goal (by 2H 2027/2028), they often point to the 25-27% range rather than 28-29% (unless molecular Dx / Lex execution ends up being hyper successful)

- The upcoming FCF generation should translate into interest expense reduction (not to mention co has ability to refi its term loan into meaningfully more attractive rate over time), D&A shouldn't tick up more from here, **that's how you get \$4+ of earning power**
- The skeptics may quibble that the Beckman litigation payment drops off in the new decade (outside of this projection window) creating a headwind, I am aware of that and believe QDEL's organic growth drivers from 2028 to 2030 would offset that headwind. You can choose to put a conservative P/E multiple on your 2028 numbers if you are overly concerned about that.

PnL Bridge	Actual 2024	Actual 2025	Est 2026	Est 2027	Est 2028
Adjusted EBITDA - Starting		543	597	630	730
Incre. contribution profit from non-respiratory rev		29	24	27	29
Decre. Contribution profit from COVID rev		(67)	-	-	-
Incre. / decre. from flu / RSV rev		3	(16)	18	6
Incre. contribution profit from Lex Dx		-	3	11	15
Idiosyncratic net cost saving flow-through		90	22	45	25
Adjusted EBITDA - Ending	543	597	630	730	804
Adj. EBITDA Margin %	19.5%	21.9%	22.7%	25.1%	26.4%
Change YoY %	-25%	10%	6%	16%	10%
Less: core depreciation	(211)	(220)	(250)	(253)	(255)
Adj. EBIT	332	377	380	478	549
Less: other expense	(4)	(8)	-	-	-
Less: interest expense	(163)	(178)	(195)	(183)	(152)
Adj. EBT	165	191	185	295	397
Less: tax	(40)	(47)	(44)	(71)	(95)
Effective tax rate	24.3%	24.6%	24.0%	24.0%	24.0%
Adj. NI	125	144	140	224	302
FDSO	67.4	68.0	68.3	68.7	69.0
Adj. EPS	\$ 1.85	\$ 2.12	\$ 2.06	\$ 3.26	\$ 4.37
P/E Today	6.2x	5.5x	5.6x	3.6x	2.7x

- **On the FCF bridge**, my numbers bake into working capital oppy mentioned earlier, but working capital is still a large cash outflow every year due to the reagent rental contract dynamics ("leasing" or "placement" of equipment at customers' sites in exchange for multi-yr high-margin consumable contracts). You have cash interest drop off, cash tax relatively steady given large NO, and lastly I bake in the drop-off of one-off cash charges. CapEx should remain around here after previous 2 years' investment cycle.
- **If you look at the Adj FCF / recurring FCF (ex. one-off) conversion from Adj. EBITDA**, I have that reaching ~43% by '27 and ~47% by '28, still below the 50% medium-term mgmt. target.
- **The take-away here is that I have QDEL generate \$~750mm levered FCF between 2026 and 2028, close to ~100% of current market cap.** That debt to equity transfer can be powerful in itself.
- You may notice I have an earning to FCF conversion of > 100% for 2027 + 2028, that's due to 1) cash tax shield and 2) remember FCF adds back SBC while the adj. earning metric treats SBC as an expense. **Over the long-term, as NOL gets depleted, these two metrics should converge.**
- **If you prefer capital structure neutral valuation, you can create QDEL at ~7x EV to unlevered FCF by 2028, or a ~15% uFCF yield.** To the extent this valuation dislocation sustains, acquiring QDEL at even a meaningful premium would be very accretive for strategics and financial sponsors

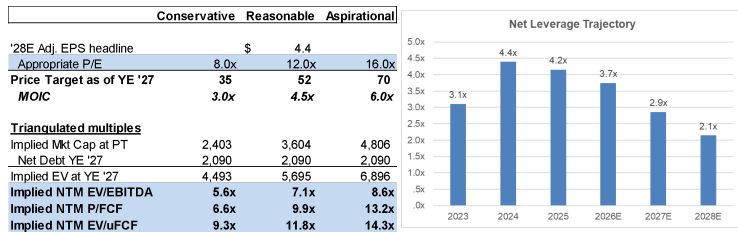
FCF Bridge	Actual 2024	Actual 2025	Est 2026	Est 2027	Est 2028
Adj. EBITDA	543	597	630	730	804
Add: SBC	42	48	46	50	50
Less: cash interest	(178)	(172)	(195)	(183)	(152)
Less: cash tax	(42)	25	(35)	(35)	(35)
Working capital incl. reagent rental	(188)	(128)	(110)	(85)	(125)
Less: one-off cash charges	(217)	(175)	(55)	(45)	(10)
Reported OCF	83	105	281	432	532
Less: CapEx	(186)	(182)	(160)	(163)	(166)
Reported FCF (GAAP)	(103)	(77)	121	269	366
Adj. EBITDA to GAAP FCF conversion	-19%	-13%	19%	37%	45%
Adj. NI to FCF conversion	-82%	-53%	86%	120%	121%
Addback: one-off cash charges	217	175	55	45	10
Adj. Recurring FCF	114	99	176	314	376
Adj. Recurring FCF as % of Adj. EBITDA	21%	16%	28%	43%	47%
Supplemental					
Reported FCF / share	\$ (1.5)	\$ (1.1)	\$ 1.8	\$ 3.9	\$ 5.3
uFCF (taxed despite NOL)	32	54	269	408	481
P/FCF Today	NM	NM	6.6x	3.0x	2.2x
EV/uFCF Today	103.5x	61.1x	12.2x	8.0x	6.8x

Intrinsic value assessment: what is it worth if this plays out?

- It's increasingly difficult to find great comps for this business given lots of peers / competitors are owned by much larger companies that span across multiple business lines (DHR, ABT, Roche). But **take a look at Qiagen, Quest Diagnostics and LabCorp – while they are all different beasts, on average they have that MSD % organic growth profile and participate in the growth of the global in-vitro diagnostics industry.** All 3 of them trade at roughly

mid-teen forward P/E (QGEN 15x, DGX 17.5x, LH 14.5x). From there, you can apply whatever discount you want, to account for the SMID cap / orphaned nature of QDEL stock or the China overhang in this situation

- With Hologic / HOLX getting taken out by private equity earlier this year, it removed another public-traded diagnostics comparable. It was acquired at ~13.3x trailing EV/EBITDA multiple and likely > 12.5x forward EV/EBITDA given HOLX was barely growing much
- **If our base case plays out, it would have delevered into the 2-3x net leverage profile by 2027-2028**, and even just a mediocre business (say LSD to MSD growth) making 25%+ EBITDA margin with healthy FCF conversion should warrant a 13-14x P/E.
 - **Base: I think 12x P/E is reasonable given it factors into a meaningful discount to where peers trade today, that would lead to a 4.6x multiple on invested capital (MOIC)**
 - If you want to be super conservative, maybe this is an 8x P/E business, still a 3x
 - And I'm not going to stop anyone from feeling aspirational
- **The table also lays out the triangulated EV/EBITDA, P/FCF (inversion of FCF yield), and EV/unlevered FCF multiple at these hypothetical price targets –** you can all see that we are using “value chud” multiples across the board here.



Absolute margin of safety in downside operating scenario: assessing permanent equity impairment

- Let's create a bear case for argument's sake, with a bridge starting from this year's rebased EBITDA (likely what the company will guide to in 2-3 weeks)
- **First**, I'm inserted in a very sad level of organic growth contribution, zero'd any hope of Lex Dx doing anything, and reduced the remaining cost out assumption to a minimum level that QDEL makes references to in its 10-K/Q
- **Second**, let's cut 40% of **China** dry chem contribution margin (assuming it's ~half of the China's total contribution margin). This probably assumes a 60% gross cut or more, as the distributors will absorb some pain and QDEL would implement G&A reduction effort in that scenario
- **Third**, even though **COVID** revenue should be finally reaching its endemic levels (and is already less than 3% of QDEL's entire revenue base at this point), let's just play more devil's advocate and chop away half of it at 65% decremental margin
- **Lastly**, let's just remove the **Beckman settlement** out of EBITDA immediately to put a wrench in it
- **We get an EPS floor of ~\$2 over time. As long as FCF conversion comes through, it can still delever.**
- **What's the stock worth in this scenario? Well, once we've taken all this theoretical pain, there is no more meaningful shoe to drop...**and the market would have to put a normalized multiple on this earning power because there is no sign of it being “peak”. Is 5x PE / 22% levered FCF yield conservative enough? Well, that's about a ~10% downside.
- **It's an interesting exercise to understand what the market has “priced in” by now**

2026 rebased EBITDA	630
Flu recapture	23
COVID	(26)
Remaining cost-out	50
Organic growth	38
Lex Dx contribution	-
Beckman settlement	(73)
China pricing pressure	(28)
Bear Adj. EBITDA Anchor	614
Core depreciation	(250)
Adj. EBIT	364
Interest	(175)
EBT	189
Tax at 24%	(45)
Adj. Net Income	144
FDSO	68
Bear EPS Anchor	\$ 2.1
Bear P/E on end state	5x
Bear PT	\$ 10.6
Downside	-9%

Notes:

Flu is cyclical, recapture over next 2 yrs
Take out half of remaining COVID again
This would be a very conservative take
Just 3% CAGR over 2 years
Assume Lex is a dud, no EBITDA contribution
Take it out immediately despite steady until 2030
Cut 40% of China dry chem contribution margin

Slower deleveraging, but still some reduction

Capital structure in bear case	
Implied mktcap at \$10.6	719
Est. net debt in 2 years	2,350
Implied ND/EBITDA in bear case	3.8x
Implied EV at bear PT	3,069

Slower deleveraging

Triangulated multiples at \$10.6

Implied EV/EBITDA	5.0x
Implied levered FCF yield	22%
Implied EV to uFCF	10.5x

Does anyone realize that Hologic / HOLX was just LBO'ed with more turns of net leverage than QDEL's entire EV/EBITDA multiple? (Adj. EBITDA treats SBC as real cost in both cases). No kidding, and it's not like HOLX was even growing much organically (nor expanding margin) in the last 12-month period reported before the deal closed

HOLX Fiscal Yr ending September			PF-Cap structure (\$mm)	Net Lvg Through
	2024A	2025A		
Rev	4,030	4,101	1L TL A	1,500 6.2x
Growth YoY		1.7%	1L TL B USD	7,000 6.2x
Organic growth		1.2%	1L TL B EUR	1,740 6.2x
Adj. EBITDA	1,313	1,340	2L TL	1,500 7.3x
Growth YoY		2.1%	PF gross debt	11,740
Margin %	32.6%	32.7%	Cash	(2,000), *possibly less
			PF net debt	9,740 7.3x

Other ways to win:

- Given how dislocated the valuation is + clear PE appetite for "slow growth Dx assets", there is a reasonably high probability that private equity would come in to scoop it up and sell it in pieces if public market is unwilling to do the dirty work.**
 - In Nov '23, Bloomberg mentioned QDEL was weighing a sale of its transfusion medicine unit valued at \$1.5-2bn back then. This business (immunohematology segment) accounts for ~20% of revenue (and probably similar portion of EBITDA)
 - Since the market is super concerned of its \$2.5bn of net debt, at some point QDEL could create value by just capitulating this segment to PE for \$1bn 💎 it would be a hugely deleveraging event.
 - An activist investor could get involved to push for this type of corporate action
- Mgmt could also shut down Lex Dx if molecular Dx commercial momentum isn't there in another 18-24 months to free up est. \$60mm annual burn.**
Since there is no D&A nor tax offset, it'd contributing an incremental \$60mm to FCF

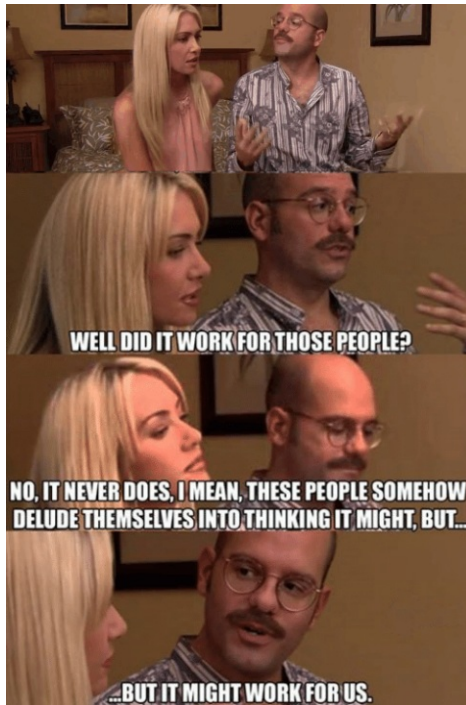
Why now?

- "Blood in the street" moment.** (No, this isn't a joke about QDEL's blood transfusion medicine business.)
- Peak frustration in C-suite is going to light a fire under the organization's buttock and could lead to value enhancing moves.** CEO Brian Blaser received \$10mm of RSUs upon joining in 2024, majority of that was subjected to performance-based vesting that is **contingent on relative Total Shareholder Return over 3 years through December 31, 2026.** Tik tock Tik tock

Risks

Execution / something structurally broken (that isn't flagged by public disclosure / field work) / FCF being a mirage forever

Waiting for FCF inflection with credibility at all time low is a risky endeavour



I do not hold a position with the issuer such as employment, directorship, or consultancy.
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Catalyst

FCF coming through

Deleveraging

Messages

Subject Lex / COVID-19 Numbers
Entry 04/27/2026 01:41 PM
Member TrustTheProcess1

What gives you confidence that Lex will be positive EBITDA, especially given how competitive the molecular diagnostics space is and the company's relatively late entry? What is the value proposition that would drive customers to choose Lex over more established players?

Additionally, why will COVID-19 only testing volumes will stabilize rather than continue to decline?

Subject Re: Lex / COVID-19 Numbers
Entry 05/03/2026 09:46 AM
Member Chalkbaggery

Thank you for the question, TrustTheProcess.

1) On Lex Dx, I think there is a misunderstanding, perhaps my modeling exhibit confused you there by showing "positive contribution margin" dollars.

Bottomline upfront, I do not have Lex or the Molecular Dx effort being profitable during my projection period, in fact I have it as a negative PnL drag for the foreseeable future. Since my model is a "bridge-based" EBITDA build (tailwind vs. headwind on YoY basis), it may not be clear to you that the baseline 2025 EBITDA (starting point) already factors into ~\$60mm of SG&A (mostly R&D/commercial go-to-market) resource spending on Molecular Dx. That was already in the "expense run-rate" and most of that was due to the old Savanna Molecular Dx platform that has been discontinued. What the company is assuming is that **this level of Molecular Dx OpEx investment would be more or less stable as Savanna gets replaced with Lex Dx**, so you can think about that old ~\$60mm Savanna spend going away, and replaced with about \$60mm of Lex-specific R&D / G&A burn rate. However, with the FDA approval of Lex's first panel 2 months ago, Lex will roll out this product commercially by YE 2026 before pushing harder into 2027/2028 with a broader panel (GI, STI, etc.), so incremental revenue will come in at improving contributing margin (gross margin). **What you see in the bridge model is the gross profit contribution from selling quite limited volume of Lex products. In the initial years, I do not assume the gross profit contribution to come near to fully offsetting the Lex Dx R&D run-rate (again, that is already burdening the EBITDA today).** Full disclosure: I do not assuming QDEL's Molecular Dx effort (MDx) to be anywhere close to a homerun (their hold Savanna revenue target of \$250mm in 3 yrs post launch was laughable), and my lack of enthusiasm for QDEL's MDx platform is appropriately reflected by the relatively low exit P/E or EBITDA multiples in my return assumption. With that said, I have spoken to multiple director of lab at major hospitals that have evaluated Lex recently, and I have confirmed the value proposition re: 1) industry-leading quick turnaround time, and 2) lower reagent cost compared to incumbent solutions. Various potential customers are doing the work to understand if that cost saving juice is worth the squeeze. If it is, they will make a transition / diversifying effort by procuring Lex. If not, they will stay put. The devil is always in the details.

2) On COVID-only tests (run on the Sofia platform), mgmt actually has decent visibility on the demand pull-through there as it has informatic software to track instrument utilization, etc, and it has started observing stability on COVID-only tests starting 18 months ago. 2024 benefited from a big summer COVID wave that popped up the #s in Q3. **But if you eliminate that and adjust for retail tests (that QDEL stopped selling in 2025), the underlying test volume in the professional channel has been stable. Abbott has been communicating the same message, the major step-down is over and now it's at low endemic volume. In fact, it's so meaningless such that Abbott has stopped disclosing COVID revenue this past quarter (after disclosing it every quarter since pandemic to help investors understand the core growth ex-COVID).** As you can see, my margin of safety scenario took out another 50% of COVID test revenue for the devil's advocate's sake...but I assume stabilization in my base case.

Hope this helps